University of Lausanne
HEC Lausanne Spring 2024

Short Country Report
INTERNATIONAL MONEY AND FINANCE

Description and Content

The strategic department of your company would like to assess the development potential of country X and asks you to write a report on the country's macroeconomic situation. This report of maximum 3 pages must contain information and data about the following points:

1. Show graphically (by creating your own charts!) the evolution of the following economic indicators over the last 20 years and provide brief comments on their evolution.
   a. Economic growth;
   b. Unemployment;
   c. Inflation;
   d. Public debt (as percentage of GDP);
   e. Government deficit (as percentage of GDP);
   f. International currency reserves (in bio. USD); [if data is not available, reserves including gold and/or SDR are accepted]

2. Describe the components of the balance of payments (as percentage of GDP) over the last 10 years. In particular:
   a. Current account
   b. Balance of goods and services;
   c. Balance of primary income;
   d. Foreign direct investment (FDI) inflows
   e. International currency reserves (in bio. USD); [if data is not available, reserves including gold and/or SDR are accepted]

3. Describe the evolution of nominal and real exchange rates
   a. Show the evolution of the nominal and real effective exchange rates over the last 20 years.
   b. Compared to February 2020, by how much has the currency appreciated or depreciated in real terms?

4. Plot the inflation differential with the U.S. in the last 20 years and compare it with the evolution of the sport dollar exchange rate. What can you conclude from this picture?

The source of all data used must be cited precisely (see below). If data are not available, it should be indicated clearly in the report.

Your report may be presented to the CEO. It is therefore important to write clearly and accurately and that pictures are easy to read. The quality of your report can influence your career! In any case, it influences your grade.

Sources

There are no restrictions regarding the sources of *general information* (excl. data) other than to use reliable ones. In contrast, all macroeconomic *data* **must be gathered exclusively** from the following institutions and data providers (non-reliable sources such as tradingeconomics.com or knoema.com should not be used):

- International Monetary Fund;
- World Bank;
- United Nations (UNCTAD);
- OECD;
- International Labour Organization (ILO);
- Penn World Table;
- FRED;
- Bank for International Settlements (BIS Statistics);
- Bruegel;
- Country's central bank, government or official bureau of statistics;
- Fee-based data providers (e.g., Reuters, Bloomberg).

Most of the information we ask for are available on these databases. Other data sources are only allowed after consultation with the course assistant.

The information and data sources used must be mentioned in your report (we should be able to recover easily every number/data/quotation). Sources can be recorded directly in the text, as a footnote or as an endnote, each together with an appropriate bibliography.

You can see two bibliography entry examples below.

Example for a website:
Author or Institution. (Date published if available; n.d. --no date-- if not). Title of article. Title of website. Retrieved date, from URL

- International Monetary Fund. (n.d.). IMF Data. Retrieved February 20, 2018, from http://www.imf.org/en/Data

Example for an article:
Surname, First name. (Year Published). "Article Title". *Journal Name,* Volume number: Page numbers.

- Aghion P., Bacchetta P. and Banerjee A. (2000). "A Simple Model of Monetary Policy and Currency Crises". *European Economic Review*, 44: 728-738.

Structure and Style

Your report should meet the following restrictions:

- Font: Times New Roman
- Font Size: 12
- Line Spacing: Simple / Single
- Character Spacing: Normal
- Report Size: Maximum 3 pages (recto and including footnotes)
  (tables and figures must be included in the 3 pages, while title page, table of contents and bibliography are not)
- Language: English or French (without any word in English)
- Graphs: Need to be self-created, data file should be included in upload

Logistics

- Group of either 2 or 3 students. As an exception: if you have issues to find partners, we will randomly pair you up with (an)other single person(s) with the same language preference.
- Registration with the link on the Moodle page until **March 10, 12h00**.
- Country allocation will be announced on the Moodle page on **March 12, 12h00**
- Deadline and submission: Your report should be uploaded as an electronic version to the respective Moodle page until Monday, **March 26, 12h00.** Upload the report **and the data file** with the data you use combined in a single .zip file. Please read the instructions on the upload page before you submit.

Evaluation

The evaluation of your report is based on the objectives mentioned above. All requested data should be presented and analysed. The quality of your analysis and the originality of your report are rewarded. Your report should not be a copy-paste of an IMF or any other (policy) report! Plagiarism implies a grade of zero for the course.